

**SUBSTITUTE FOR
HOUSE BILL NO. 5504**

A bill to create the state digital service office; to require reports; and to provide for the powers and duties of certain state governmental officers and entities.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "state digital service
2 office act".

3 Sec. 2. As used in this act:

4 (a) "Chief digital service officer" means the individual
5 appointed under section 7.

6 (b) "Chief information officer" means that term as defined in
7 section 2 of the cyber civilian corps act, 2017 PA 132, MCL 18.222.

8 (c) "Department" means the department of technology,
9 management, and budget.



(d) "Digital service office" means the state digital service office created under section 3.

(e) "Director" means the director of the department.

(f) "Product manager" means an individual from a state department or agency who is responsible for ensuring the product developed from a software development project delivers measurable value to users and achieves strategic objectives through evidence-based decision making and continuous user engagement.

(g) "Standard report recipients" means the senate and house of representatives appropriations subcommittees on the department budget, the senate and house of representatives fiscal agencies, the senate and house of representatives policy offices, and the state budget office.

Sec. 3. (1) The state digital service office is created within the department.

(2) The digital service office shall implement this act. The digital service office shall exercise its powers, duties, functions, and responsibilities independently of the director.

Sec. 4. (1) The digital service office shall do both of the following:

(a) Develop strategies and practices that aim to achieve the maximum effect on critical systems and programs.

(b) Work to foster cultural change in the technology workforce of this state, conducive to implementing the adoption of modern software development strategies and practices, as described in subsection (4).

(2) The digital service office shall advise and collaborate with the chief information officer, the department's central procurement office, the department's enterprise portfolio



1 management office, and any office under the chief information
2 officer to adopt modern software development strategies and
3 practices, as described in subsection (4), and cybersecurity best
4 practices, for building and deploying technology and digital
5 services that improve the lives of the residents of this state.

6 (3) The digital service office shall advise and collaborate
7 with the department's central procurement office and the director
8 to study innovative procurement practices for the acquisition of
9 digital products by and for state departments and agencies to
10 facilitate the rapid provision of high-quality digital services
11 that are based on users' needs and that comply with the
12 department's best practices and policies regarding data privacy,
13 security, and accessibility.

14 (4) The digital service office shall advise and collaborate
15 with the chief information officer, the executive office of the
16 governor or lieutenant governor, the director, and state
17 departments and agencies to support adoption of modern software
18 development strategies and practices, including, but not limited
19 to, all of the following:

20 (a) Agile development methodologies.

21 (b) Open-source practices for the development and deployment
22 of new and existing digital services.

23 (c) Advocacy of modern software development tools and
24 practices that include, but are not limited to, all of the
25 following:

26 (i) Development, security, and operations.

27 (ii) Modular contracting.

28 (iii) Active product management.

29 (iv) User-centered design.



(v) Iterative and incremental development.

(vi) User research and testing.

(vii) Unified development infrastructure.

(viii) Service-oriented architecture.

(ix) Open-source software.

(x) Unified development infrastructure.

(xi) The modern best practices described in the 13 plays of the Digital Services Playbook, published by United States Digital Service.

Sec. 5. The digital service office shall do all of the following:

(a) Except as otherwise provided in this subdivision, review requests from state departments and agencies for software development projects that have an estimated cost of \$1,000,000.00 or more to evaluate and advise on the optimal design and development approach, including development approaches that encourage in-house development. The digital service office may review software development projects that have an estimated cost of less than \$1,000,000.00 if requested by a state department or agency or if the digital service office determines a review is beneficial.

(b) Promote the most effective means for improving digital services based on quantitative and qualitative assessments of user needs.

(c) Coordinate training for state departments and agencies on effective management and collaboration in software development projects, including, but not limited to, training on the role of product managers.

(d) Provide all of the following for information technology



1 activities within state departments and agencies that have a cost
2 of more than \$500,000.00:

3 (i) Oversight, monitoring, and recommendations that promote
4 modern software development strategies and practices.

5 (ii) Standards for the management, organization, and tracking
6 of the information technology activities.

7 Sec. 6. (1) Not later than February 1 of each year, the
8 digital service office shall submit a report to the standard report
9 recipients that includes all of the following:

10 (a) Actions taken to pursue and implement responsibilities
11 provided in this act.

12 (b) The status of progress made toward achieving full adoption
13 of the modern software development strategies and practices
14 described in section 4(4).

15 (c) Actions recommended to the department and the status and
16 outcomes of the recommendations.

17 (d) A summary of any actions that resulted in reductions or
18 avoidances of costs to this state and estimates of the amounts and
19 of the savings to this state.

20 (e) Whether the chief digital service officer has blocked or
21 redirected the advancement of a technology project under section
22 7(4), including a description of the decision.

23 (2) The digital service office shall, not later than February
24 1 of each year, prepare a report on resident-centered outcomes for
25 projects that the digital service office reviewed under section
26 5(a) in the immediately preceding calendar year. The digital
27 service office shall submit the report to the standard report
28 recipients and make the report available to the public on the
29 department's website. For purposes of this subdivision, "resident-



centered outcomes" includes, but is not limited to, all of the following:

(a) Time saved.

(b) Applications completed without error.

(c) Percentage of users accessing services successfully.

(3) The digital service office shall submit a report to the standard report recipients and the chief information officer if a project with a budget of more than \$500,000.00 encounters problems that result in any of the following:

(a) The project is at risk of exceeding the project budget or schedule.

(b) The project has exceeded the project budget or schedule.

(c) There is a risk of significant disruption of efficient and reliable services to residents of this state.

(4) The report described in subsection (3) must identify the reason for the problem and provide recommendations to resolve the problem.

Sec. 7. (1) The chief digital service officer shall lead the digital service office. The governor shall appoint the chief digital service officer with the advice and consent of the senate majority leader and the speaker of the house of representatives.

(2) To be eligible for appointment as the chief digital service officer, an individual must be a full voting member of the board that governs the information technology investment fund described in section 838 of 2025 PA 22.

(3) The chief digital service officer shall build and commit to a talent strategy that attracts, recruits, competitively compensates, and retains interdisciplinary expertise in cybersecurity, technology, strategy, business, and management to



1 import world-class digital services into state information
2 technology services and projects.

3 (4) The chief digital service officer may block or redirect
4 the advancement of a technology project that poses a risk of
5 significant unnecessary costs to this state or significant
6 disruption of efficient and reliable services to the residents of
7 this state.

8 Sec. 8. The digital service office shall exist for the 5-year
9 period immediately following the effective date of this act.